

#	Case Name	Tentative
50.	Duran v. General Motors, LLC 2025-01493533	Defendant General Motors, LLC's Demurrer to the First Amended Complaint ("FAC") is OVERRULED. Defendant GM demurs to the fourth and fifth causes of action of the FAC. Fourth Cause of Action – Breach of the Implied Warranty of Merchantability "The statute of limitations for breaches of the implied warranty of merchantability is four years." (<i>Montoya v. Ford Motor Company</i> (2020) 46 Cal.App.5th 493, 495.) Courts have applied Commercial Code section 2725 to claims arising from an implied warranty. (<i>Mexia v. Rinker Boat Co., Inc.</i> (2009) 174 Cal.App.4th 1297, 1305-1306.) The future performance exception articulated within Commercial Code section 2725, subdivision (2), "must be narrowly construed." (<i>Cardinal Health 301, Inc. v. Tyco Electronics Corp.</i> (2008) 169 Cal. App. 4th 116, 130.) The exception "applies only when the seller has expressly agreed to warrant its product for a specific and defined period of time." (<i>Ibid.</i>) Consequently, the California Court of Appeal has interpreted and applied the future performance exception almost exclusively in the express warranty context. (<i>Id.</i> at pp. 129-131 (citing cases)). To emphasize this point, the <i>Cardinal Health</i> court stated that, "[b]ecause an implied warranty is one that arises by operation of law rather than by an express agreement of the parties, courts have consistently held [that] it is not a warranty that explicitly extends to future performance of the goods." (<i>Id.</i> at pp. 133-134.) Notably, however, "[o]ne innovation of the Song-Beverly Act is an express provision for a duration of the implied warranty of merchantability." (<i>Mexia v. Rinker Boat Co., Inc.</i> (2009) 174 Cal.App.4th 1297, 1304.) With respect to Song-Beverly Act claims, "[t]he duration of the implied warranty of merchantability and where present the implied warranty of fitness shall be coextensive in duration with an express warranty which accompanies the consumer goods, provided the duration of the express warranty is reasonable." (Civ. Code, § 1791.1, subd. (c).) Based on the above, the reasoning articulated in <i>Cardinal Health</i> does not appear applicable: In the context of a Song-Beverly claim, an implied warranty has a "specific and defined period of time." The Fourth Cause of Action accrued "when

	the breach [was] or should have been discovered.” (Cal. U. Com. Code, § 2725, subd. (2).) “A plaintiff whose complaint shows on its face that his claim would be barred without the benefit of the discovery rule must specifically plead facts to show (1) the time and manner of discovery and (2) the inability to have made earlier discovery despite reasonable diligence. The burden is on the plaintiff to show diligence, and conclusory allegations will not withstand demurrer.” (<i>E-Fab, Inc. v. Accountants, Inc. Services</i> (2007) 153 Cal.App.4th 1308, 1319.) Here, Plaintiffs obtained the Vehicle on August 25, 2019. Thereafter, Plaintiffs allegedly experienced defects and non-conformities in the Vehicle including, but not limited to, harsh shifts, slipping in gear, jerking or jerky shifts, abnormal loud noises, check engine lights, engine misfire, and the windows do not function. (FAC, ¶ 12.) From December 28, 2019, to October 7, 2024, Plaintiffs presented their Vehicle to Defendant’s authorized repair facilities. (FAC, ¶¶ 13-16.) As to each of these instances, the FAC alleges the facility “advised the Vehicle had been repaired and was working as designed.” (Id.) Plaintiffs allege they had no way of uncovering Defendant’s deception regarding the repairs because Defendant performed various diagnostics and/or undertook repairs and claimed that nothing was wrong with the Vehicle. (FAC, ¶¶ 18-19.) Additionally, regardless of whether delayed discovery is applied, the repair allegations support tolling. Commercial Code section 2725 makes clear that this section “does not alter the law on tolling of the statute of limitations....” (Cal. U. Com. Code, § 2725, subd. (4).) “Tolling during a period of repairs generally rests upon the same legal basis as does an estoppel to assert the statute of limitations, i.e., reliance by the plaintiff on the words or actions of the defendant that repairs will be made.” (<i>Cardinal Health</i>, supra, 169 Cal.App.4th at pp. 133-134; See also <i>Aced v. Hobbs-Sesack Plumbing Co.</i> (1961) 55 Cal.2d 573, 585 [“The statute of limitations is tolled where one who has breached a warranty claims that the defect can be repaired and attempts to make repairs.”].) In this case, the FAC alleges consistent repairs and representations that defects were cured between December 28, 2019, and October 7, 2024. Such repair allegations support tolling, and making the filing of the FAC timely for purposes of a demurrer. (<i>Geneva Towers Ltd. Partnership v. City of San Francisco</i> (2003) 29 Cal.4th 769, 781 [any statute
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of limitations challenge must “clearly and affirmatively appear on the face of the complaint; it is not enough that the complaint shows that the action may be barred.”] emphasis added; internal citation omitted.)

Accordingly, the demurrer to the fourth cause of action is OVERRULED.

Fifth Cause of Action – Fraudulent Inducement-Concealment

a. Statute of limitations

Code of Civil Procedure section 338(d) provides that an action for fraud must be brought within three years. Such a claim does not accrue, however, “until the discovery, by the aggrieved party, of the facts constituting the fraud or mistake.” (Code Civ. Proc. § 338(d).)

Where a plaintiff relies on a theory of fraudulent concealment, delayed accrual, equitable tolling, or estoppel to save a cause of action that otherwise appears on its face to be time-barred, he or she must specifically plead facts which, if proved, would support the theory. (*Mills v. Forestex Co.* (2003) 108 Cal.App.4th 625, 641.)

“When a plaintiff alleges the fraudulent concealment of a cause of action, the same pleading and proof is required as in fraud cases: the plaintiff must show (1) the substantive elements of fraud, and (2) an excuse for late discovery of the facts. [Citation.] With respect to ... the belated discovery, the complaint must allege (1) when the fraud was discovered; (2) the circumstances under which it was discovered; and (3) that the plaintiff was not at fault for failing to discover it or had no actual or presumptive knowledge of facts sufficient to put him on inquiry.” (*Community Cause v. Boatwright* (1981) 124 Cal.App.3d 888, 900.)

Here, the FAC alleges that on August 25, 2019, Plaintiffs entered into a warranty contract with GM. (FAC, ¶ 6.) Plaintiffs filed suit against GM on October 7, 2024. As such, unless Plaintiffs allege sufficient facts in support of delay discovery or tolling, the three-year statute of limitations for this claim expired well before the original Complaint was filed.

Defendant argues the FAC does not include any allegations that justify their late filing, citing to the alleged “[d]efects and nonconformities to warranty manifested themselves” during the “express warranty period.” (FAC, ¶ 23.) Therefore, Defendant argues that Plaintiffs cannot sustain the burden of demonstrating that they did not discover with reasonable

	diligence the actions giving rise to their claim within the applicable limitations period. However, as argued by Plaintiffs, even though Plaintiffs' vehicle was showing signs of nonconformity earlier, Plaintiffs only discovered Defendant's fraudulent conduct of selling defective transmissions shortly before the complaint was filed. (FAC, ¶¶ 36, 38, 47-50.) Up until that time, Defendant had represented that either there was nothing wrong with the Vehicle or it had been repaired. Accordingly, the demurrer based on statute of limitations is OVERRULED. b. Failure to plead sufficient facts to state a cause of action for fraud "[T]he necessary elements of a concealment/suppression claim consist of (1) misrepresentation (false representation, concealment, or nondisclosure); (2) knowledge of falsity (scienter); (3) intent to defraud (i.e., to induce reliance); (4) justifiable reliance; and (5) resulting damage. Suppression of a material fact is actionable when there is a duty of disclosure, which may arise from a relationship between the parties, such as a buyer-seller relationship." (<i>Dhital v. Nissan North America</i> (2022) 84 Cal.App.5th 828, 843 [cleaned-up].) In <i>Dhital</i>, the court found a cause of action for fraudulent concealment was sufficiently plead where the "plaintiffs alleged the CVT transmissions installed in numerous Nissan vehicles (including the one plaintiffs purchased) were defective; Nissan knew of the defects and the hazards they posed; Nissan had exclusive knowledge of the defects but intentionally concealed and failed to disclose that information; Nissan intended to deceive plaintiffs by concealing known transmission problems; plaintiffs would not have purchased the car if they had known of the defects; and plaintiffs suffered damages in the form of money paid to purchase the car." (<i>Dhital</i>, supra, 84 Cal.App.5th at 844.) Similarly, Plaintiffs allege defects in the transmission resulting in dangerous functional impairments including: (1) hesitation or delayed acceleration, (2) harsh or hard shifting, (3) jerking, (4) shuddering, (5) surging and/or inability to control the vehicle's speed, acceleration, or deceleration, (6) symptoms requiring reprogramming of the transmission control module ("TCM") and/or powertrain control module ("PCM"), and (7) failure or replacement of the transmission ("Transmission Defect"). (FAC, ¶ 75.) The FAC further alleges Defendant had knowledge of such defects prior to Plaintiffs acquiring the Vehicle through sources
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	not available to consumers such as Plaintiffs, including but not limited to pre-production and post-production testing data; early consumer complaints about the Transmission Defect made directly to Defendant GM and its network of dealers; aggregate warranty data compiled from Defendant GM's network of dealers; testing conducted by Defendant GM in response to these complaints; as well as warranty repair and part replacements data received by Defendant GM from Defendant GM's network of dealers, amongst other sources of internal information. (FAC, ¶ 76.) Prior to purchasing the Vehicle, Plaintiffs reviewed marketing materials and GM's advertisement, and interacted with sales representatives. Had they known about the defects, Plaintiffs would not have purchased the vehicle. (FAC, ¶ 77.) Defendant contends Plaintiffs failed to allege a transactional relationship that would give rise to a duty to disclose. This argument was rejected in <i>Dhital</i>, supra. The court in <i>Dhital</i>, held that a fraud claim was not barred even though there was no direct relationship between the buyer and manufacturer, because the buyer purchased from an authorized dealership, the manufacturer backed the vehicle with an express warranty, and the manufacturer's authorized dealerships were its agents for purposes of vehicle sales. (<i>Dhital</i>, supra, 84 Cal.App.5th at 844.) All such facts are alleged in the FAC. Accordingly, the demurrer on this ground is OVERRULED. c. Economic Loss Rule The economic loss rule "precludes recovery for purely economic loss due to disappointed expectations, unless the plaintiff can demonstrate harm above and beyond a broken contractual promise. Conduct amounting to a breach of contract becomes tortious only when it also violates a duty independent of the contract arising from principles of tort law." <i>Robinson Helicopter Co. v. Dana Corp.</i> (2004) 34 Cal.4th 979, 988-989 (also noting prior application of economic loss rule to negligence cause of action). Defendant relies on <i>Rattagan v. Uber Technologies, Inc.</i> (2024) 17 Cal.5th 1 in support of its economic loss argument. However, <i>Rattagan</i> is not a Song-Beverly case. Moreover, it was reframed as specifically about fraud-in-the-performance, and Plaintiffs have alleged fraud-in-the-inducement, so the fraud-in-the-performance test in <i>Rattagan</i> does not apply. <i>Dhital</i> is the appropriate precedent here, as it specifically addressed fraudulent inducement by concealment claims as
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		well within the context of the Song-Beverly Act. <i>Dhital</i> held that the economic loss rule does not bar claims for fraudulent inducement, including, as alleged here, through fraudulent concealment. (Id., p. 843.) Accordingly, the demurrer on this ground is OVERRULED. The case management conference is continued to October 12, 2026 at 9:00 a.m. in Department C28. Defendant shall give notice of this ruling.
51.	Gip v. General Motors LLC 2025- 01484462	Plaintiff Logan Tu Gip's motion for attorney fees and costs is GRANTED. (Code Civ. Proc., §§ 1032, subd. (b) [prevailing party entitlement to costs generally], 1033.5, subd. (a)(10)(B) [recoverable costs may include attorney fees pursuant to statute; Civ. Code, § 1794, subd. (d) [prevailing party in Song-Beverly action entitled to reasonable fees/costs].) Plaintiff is awarded attorney fees in the amount of \$11,925.00, which amount the court finds was reasonably and necessarily incurred. The court has reduced the fees sought based on a reduced paralegal hourly rate, fees incurred for clerical tasks, and excessive fees claimed for the fee motion itself that did not occur; however, the court finds that the attorney's hourly rates appear proper. (<i>PLCM Group, Inc. v. Drexler</i> (2000) 22 Cal.4th 1084, 1095 [reasonable hourly rate "is that prevailing in the community for similar work"]; <i>Syers Properties III, Inc. v. Rankin</i> (2014) 226 Cal.App.4th 691, 700 ["determination of the 'market rate' is generally based on the rates prevalent in the community where the court is located"]; <i>Nishiki v. Danko Meredith, APC</i> (2018) 25 Cal.App.5th 883, 899 ["a trial court has its own expertise in the value of legal services performed in a case ... and it may rely on its own familiarity with the local legal market in setting the hourly rate"].) Plaintiff's request for a "Lodestar Enhancement," presumably a multiplier, is DENIED. This appears to be a routine lemon law case, with no unusual facts or novel legal issues requiring exceptional skill. (<i>Mikhaeilpoor v. BMW of North America, LLC</i> (2020) 48 Cal.App.5th 240, 248, citing <i>Press v. Lucky Stores, Inc.</i> (1983) 34 Cal.3d 311, 322, fn. 12 [multiplier factors].) Plaintiff's request for \$835.55 in costs is also DENIED. Plaintiff has already filed a Memorandum of Costs for this amount. (ROA 24.) Defendant did not seek to strike or tax that memorandum. Thus, this separate request for costs is duplicative.